

Big Enterprise - Applegreen innovation - SB104

BS Group 42

Customer segments

We chose to focus our attention on two vital consumer segments for Applegreen; pit stoppers and hectic commuters.

Pit stoppers are a large portion of any roadside service station's customer base. This demographic is likely to visit Applegreen in the early morning for fuel and breakfast and during lunchtimes to utilise deli and food services. They are attracted to the convenience of Applegreen's food options such as the deli and premade foods, along with their fast-food partners. Due to the high population of this segment and their willingness to spend money on food and quick picks, we decided to choose pit stoppers as one of our key consumer segments in order to attract new customers and maintain consumer loyalty.

Hectic commuters are another segment that are on the roads daily and therefore utilise filling stations. Due to their high mileage usage they regularly top up on petrol or diesel. They are often rushing and therefore desire a quick and seamless service. Commuters generally travel from the countryside to Dublin making them a target market for motorway service stations. Many commuters have young families and as a result are cost-conscious, but also desire convenience and speed such as fast-food, making Applegreen the perfect one-stop-shop.

Research



Figure 1: The outside of Applegreen



Figure 2: Braeburn coffee station

We visited the Applegreen at Blackrock. Co Dublin and conducted multiple interviews with a variety of customers who visited it over different days and times to gather the opinions of a wide consumer profile. Our focus was to identify pit-stoppers and hectic commuters during our field research. Applegreen. Our interview consisted of questions such as:

- Why did you choose to visit Applegreen?
- Are you a regular customer at Applegreen?
- What items do you specifically buy in Applegreen? Groceries, fuel, sweets or from the deli?
- Do you have experience with the Applegreen app or have a rewards card? If so, how would you rate your experience with them?

From this interview, we have concluded that the majority of customers visited Applegreen to primarily avail of their fuel services, followed by a minority that used Applegreen's other services, such as the carwash, deli, convenience store etc. As well as that, we found vital information on the demographic of people who visit Applegreen, and if they are regular customers. This helped us to identify commuters as a key consumer segment and Applegreen's petrol and diesel pumps as a main attraction and source of revenue.

Furthermore, we also interviewed some employees and the manager of the store. Given the busy and fast-paced environment of the store, they did not give much information related to our project but agreed that our idea was innovative when we asked their opinions on our new Applegreen consumer rewards app.



Figure 3: The sweet stand of M&S

Another thing we did was conduct ethnographic research other than verbal interviews. For some of our group members, Applegreen was their local store and many members were frequent customers of the Applegreen we chose to specifically conduct our research on. Therefore, we asked them to observe other customers while doing their weekly/daily shopping at Applegreen. They observed that many consumers' primary or only purchase was on fuel. Sometimes, customers can be seen availing of the other services Applegreen has to offer. These included the carwash, deli, and Applegreen's in-house coffee dock, Braeburn coffee among others.

We also conducted a primary research survey on people using google survey. Results showed that our customer segments consisted of people between ages 17-24 which could possibly account for hectic commuters due to their ages. Most consumers haven't used the Applegreen app while the ones who used it would like to see a display of fuel prices. This reaffirms our idea of modifying the Applegreen app and adding the addition of a visual graph of changing fuel prices.

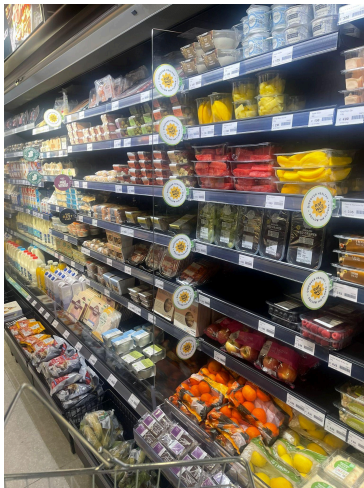


Figure 4: The fruit and dairy isle of the Applegreen

Recently the price of petrol was high. News articles have reported that this will see a drop. So far fuel prices, have seen a drop in price of 17 cents per litre, and is "the lowest average price for petrol since September 2021"

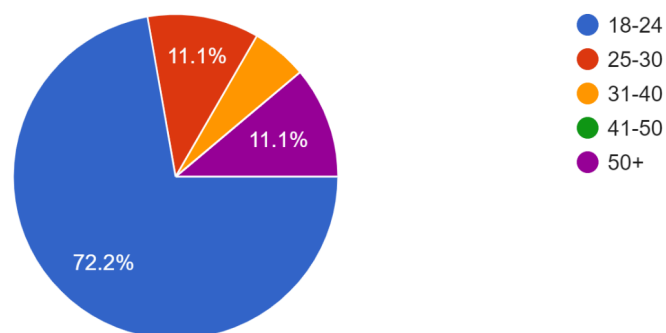
(Petrol and diesel prices Ireland: Relief for motorists as petrol and diesel prices fall to levels not seen for months, 2022)

Our research concludes that adding a visual graph on fuel prices and modifications to the app for consumers would see a rise in satisfaction for consumers, as they can get fuel when they expect it is the lowest pricings, having a certain degree of control over their own spending which hectic commuters and pit-stoppers would love. They can also view other commodities on the app which allow consumers like hectic commuters to preplan some shopping done in their Applegreen or allow pit-stoppers to decide what to eat for breakfast at Apple green.

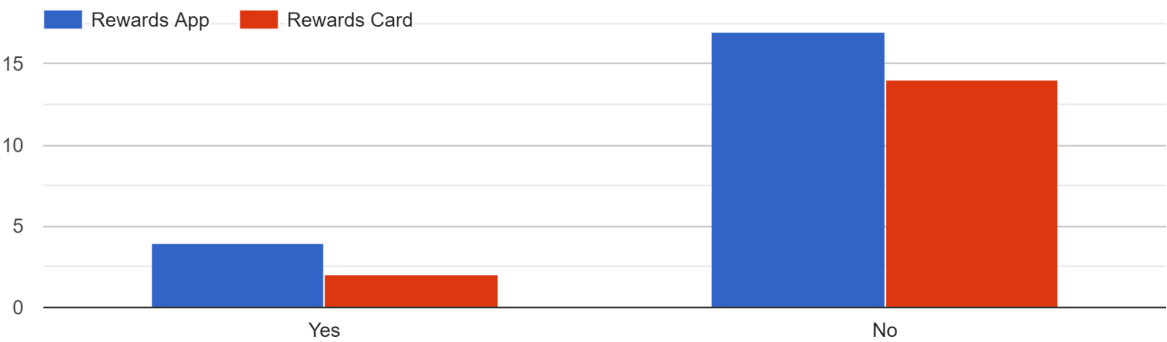
Demographics from Google Survey [Primary research]*Fidf*

What age bracket are you in?

18 responses

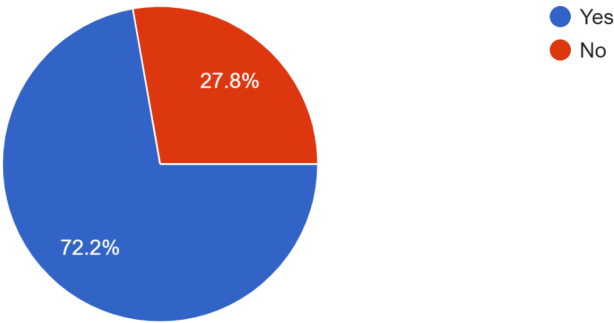


Have you ever used the Applegreen rewards app and/or do you have an Applegreen rewards card?



Would you get the Applegreen app or use it more often if it displayed live fuel prices?

18 responses



Customer needs

From the various research, both primary and secondary, that our team has gathered, we can deduct the needs of customers who shop at Applegreen. Starting from the interview that we conducted, we learned that the majority of customers shop at Applegreen for fuel. From the survey that we carried out, we extrapolated important information regarding the interest about a possible app that displays a visual graph of live fuel prices. From the survey, 72.2% of customers would be interested in such information, and are willing to use an app that can provide this information. This results in a high percentage of interested customers who would benefit from such an innovative addition to the current Applegreen app. After gathering data from the survey, we have also learned that the majority of our customer segments consisted of people between ages 17-24 which could possibly account for hectic commuters due to their ages. With this information, we can gather that the majority of customers want to be in and out of Applegreen as soon as possible, and with the addition of a live fuel price graph included in the app, would allow potential or existing customers to check the current fuel price and know the current pricing without having to visit their local Applegreen.

Customers anticipate that forecourts will fulfil their function as service stations, with a focus on "service," a location where they can complete a number of tasks in a single trip. Customers want to use their time wisely; the conventional "fuel and go" method is no longer appropriate.

From the research we conducted we found that the target customers like to use and implement end-to-end technology across multiple touchpoints to eliminate friction. This entails providing consistent pricing, information, and promotions to customers, thereby increasing the value of their experience, increasing sales, and enhancing retailers' brand differentiation. By incorporating technology throughout the customer journey, fuel and convenience retailers will be able to provide a more compelling and frictionless forecourt and store experience.

Where consumers choose to buy fuel is primarily determined by price. With the rise of mobile apps, potential customers can now easily check gas prices. The majority of people want to find the best deal; in fact, two out of every three customers will choose a station based on price. A person who shops inside a store, on the other hand, will choose based on the convenience store or additional services offered, technology is becoming an ever increasing factor in where consumers like pit-stoppers who choose to fuel and eat, or the hectic commuters who want fast ready to eat food while fueling quickly. At least everyone has a phone, especially for their job or as a commodity within arms reach, so updating the current Applegreen app allows consumers to know Applegreen is keeping up with changing trends and is also considerate of their customers comfort and convenience.

The problem

In the last few years, the modern world has arisen. The use of technology has become a daily and essential part of our lives, especially after the covid-19 pandemic which accelerated the modernization of many aspects of life. As generations are more connected and rely on devices, it feels imperative that companies also evolve with the times and make efforts to deliver a more personalised and connected experience to their customers.

From the points previously outlined, there is a considerable amount of criticism regarding AppleGreen's app. The problems presented are based on the survey's we ran, in-store criticism, and observation.

One main concern identified is that consumers are now more than ever worried about fuel prices. The price fluctuations which have been happening in recent months due to worldwide events have sparked financial distress among consumers. In August 2022, it was reported by the Irish Times that the surging of fuel prices was affecting about 80% of Irish drivers. Transparency and information convenience on this topic, by showing live fuel prices on

consumers' local AppleGreens would give the customer the knowledge of how the market is and when it is better to fill up their car's tank.

According to the survey, the majority of individuals did not use AppleGreen's app. However, when asked if an in-app feature such as live fuel prices was incorporated, approximately 73% said they would then use the app. The lack or presence of features that are aligned with consumers' needs is, as shown, a major deciding factor when considering downloading and using the app.

Furthermore, the visual aspect is often key to most customers and an outdated design decreases the potential number of app users and consequently potential customers. "Consumers make inferences about numerous product attributes, including functional attributes such as product quality, through a product's visual appearance" (Bloch 1995; Creusen and Schoormans 2005).

As mentioned during the plenary given by AppleGreen's Managing Director, Fiona Matthews, non-fuel purchases in the store make up a large portion of AppleGreen's revenue. The fuel station's new coffee brand, Braeburn Coffee, is set to compete in Ireland's coffee market, which is valued by Statista at 0.70 billion dollars. According to the Irish Times, one in three Irish people buy a coffee once a day.

However, consumers often try to reduce the time they spend in the store and look for ease in the process of their orders. For that reason, an in-app feature that allows buyers to order their coffee online would benefit both entities; the customer wants to be presented with the options available and make a decision based on those; and AppleGreen's staff would have information on the orders beforehand, simplify the payment (by allowing in-app payment) and consequently reduce employee's spent time on these areas. Nonetheless, it was found

that “information search in one channel could lead to purchases in another (online search leading to store purchase, for example)” (Ward and Morganosky, 2002; BGD, 2001).

The current AppleGreen app is undersupplying customers. The app lacks convenience, valuable features, and a modern and clean design; it subsequently does not create enough emotion and interaction with customers to lead them to consume more.

Ideation

1. When coming up with an innovative idea for Applegreen, we selected a few customer segments which we as a group believed Applegreen should focus more on to gain more publicity.
2. We brainstormed with digital/technological innovations and operational innovations to satisfy the needs of these consumers by empathising with them. Through this we believed a digital innovative idea might be more suited for them than an operational idea, with the room for growth in technology in our times.
3. We identified what makes customer experiences meaningful for some customers but not others by primary research, doing surveys, interviews and getting customer and employee feedback on Applegreen.
4. After knowing consumer needs, we identified gaps for Applegreen to work on, narrowing down various ideas and needs of consumers.

5. We concluded the idea of modifying Applegreens current app to make it even better for consumers was the best choice. Reviews of the app currently show that it needs to be worked on. From this we thought that Applegreens app should be better than their competitor Circle K. Furthermore, they should make on par similar apps in the app store that are for consumer shopping like Lidl plus.
6. Updating Applegreens app UI, featuring fuel prices and overall updates on the app would be our main idea that Applegreen should apply. This would make it iconic compared to its other competitors, as rising fuel prices are an economic issue at this moment.

Solution

It has been agreed that major changes to the Appelgren Rewards mobile app would best benefit both customers and the company itself, to the point where it is no longer solely a rewards app.

The first major feature to be added will be a live graph of fuel prices at the customers chosen location, including a graph to track previous prices so that customers may decide the time to get fuel that best suits them. This will be introduced to the market at the perfect time as the cost of living is creeping ever upwards, and fuel costs have not been spared. Enabling customers to compare prices at different apple green locations will surely be appreciated by consumers, and as such generate positive feelings toward the organisation.

The company has recently introduced its revamped coffee brand, Braeburn Coffee, which has been successful to date. The new app will incorporate an order system for customers to pre-pay for coffee or tea from their chosen Applegreen location before they even leave the house. Customers will be able to specify the desired product and tailor it to their liking. Upon

payment in the app, customers will be issued a receipt code that can be presented to staff for confirmation of payment. This will make the experience of purchasing these goods far smoother for the customer, as well as saving time for those commuting in the mornings.

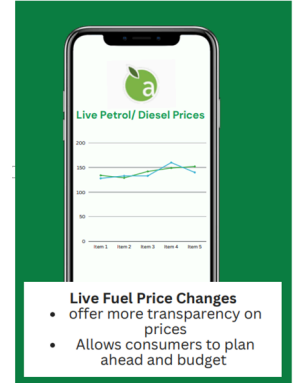
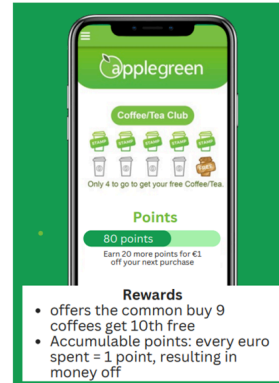
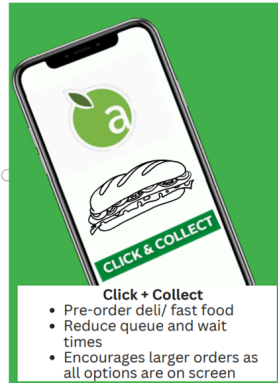
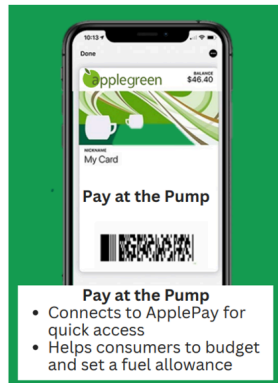
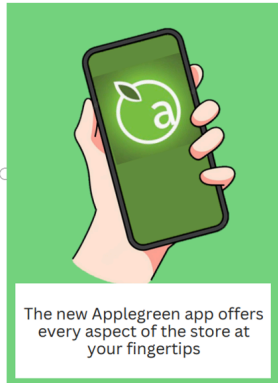
The Applegreen rewards program is a simple one, in which customers receive points back on their purchases. However, this system is rather difficult to navigate, and is sluggish when used, even after users are forced to wait for the app to load. Allowing compatibility with Apple's Apple Wallet, as well as the Android OS Wallet will create a convenient and more seamless experience, by allowing customers to produce their rewards card at the press of a button as opposed to the tedious navigation to and waiting for the app to load.

The user interface of the app in general is quite dated, and very unengaging. In fact, it is so outdated that the coffee featured in the app is not even the new Braeburn line, but in fact generic cups. A visual overhaul of the UI will not only make the app easier to navigate but will also encourage more use. Brighter colours, a better organisation system, faster loading times and a more engaging front end will entice more use of the app, and in turn the use of its features.

The Applegreen Rewards app has been decidedly unsuccessful throughout its lifespan. With an average rating of 2 stars on the Apple App store, and numerous complaints about the lack of features and poor functionality, a change must be made. Adding a live fuel price tracker, enabling pre-purchase of popular items, and a general UI overhaul will not only improve the customer experience, but bring in more sales activity through these channels by adding more transparency via fuel price tracking, and general convenience through a sleek UI and prepaid shopping.

Prototype

APPLEGREEN'S INNOVATIVE APP



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(Petrol and diesel prices Ireland: Relief for motorists as petrol and diesel prices fall to levels not seen for months, 2022)

This form **must** be completed by all teams submitting an assignment for the module.

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***A printed name in this box can replace a handwritten signature. Students should only insert their name if they and their team are satisfied with the contribution they have made towards this assignment. (If you disagree with the weighting, contact catherine.faherty@dcu.ie and do not insert your name)**

Students who are not included on this assignment declaration or are given a 0% will not be graded on this assignment.

% contribution refers to the amount of input each individual made to the assignment as decided by a team consensus.

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NOTES:

If there is anything else that we should be aware of regarding the assignment or team dynamics, please outline this here:

Samuel Leggett had decided to leave the group and work on the project himself.